

Arabian Cement (Egypt)

Recent rally and cautious outlook warrant a Neutral

Company Update

Construction Materials. Egypt

www

Stock Rating	Target Price	Closing Price
Neutral	EGP55.1	EGP51.3

What's Changed	From	To
2025e EPS	5.12	9.60
2026e EPS	5.34	9.43

Downgrade to Neutral, amidst anticipated pricing pressure

We raise our target price for Arabian Cement Egypt to EGP55.1 (from EGP30), as we reflect the major hike in cement prices, which - along with a strong demand outlook - have driven the recent share price rally (+200% to date; +99% since our last update). That said, we are turning Neutral, as we expect limited growth over our forecast horizon, from the robust earnings base in 9M25, especially with the recent government initiatives to curb rising cement prices and increase supply in the market. ARCC is still trading at a relatively decent valuation (2025e EV/EBITDA of 3.6x and P/E of 5.3x), but we are cautious on the MT outlook, as earnings are likely to be pressured, on expected lower prices. A key upside risk lies in higher-than-expected cement prices.

Shift in market dynamics creating new risks for cement prices

Cement market dynamics have been changing, with demand up c14% Y-o-Y, to date, supported by changes to building permits and ongoing megaprojects, which resulted in a massive rise in cement prices. That said, the government ended the quota system in May 2025, after having been in effect for the past four years, and initiated a new set of measures to increase supply in the market and lower cement prices, including: i) requiring all players to operate any idle capacities; ii) issuing two new cement licences; and iii) introducing fees on production exceeding the licensed capacity. Accordingly, we believe cement prices would see some downward pressure over the MT, as the demand/supply gap would remain sizeable without the quota.

Robust earnings growth in FY25e, but earnings to decelerate thereafter

We expect a substantial increase in FY25e earnings by c219% Y-o-Y, to EGP3,349mn, supported by robust cement prices reaching EGP2,861/tonne, +12% Y-o-Y growth in local sales volumes (already up by c15%, as of Oct), while cash costs have been stable throughout the year at an avg. EGP1,450/tonne. Beyond this, we take a cautious stance on our earnings forecast, as the recent measures initiated by the government are likely to have an impact on prices over FY26e-27e; hence, we expect cement prices to decrease slightly in FY26e and FY27e, and then see very low growth, of c1% CAGR (2028e-29e). We are still positive on the demand side but expect low single-digit growth from the high base seen in 2025e. Thus, EBITDA margin is expected to normalise at c35% in FY30e (from the current elevated levels of c41% in FY25e). Please see Fig. 2 and 3 for a sensitivity analysis of prices, given the recent volatility.

Key Financial Highlights (Dec Year End)

In EGPmn, unless otherwise stated	2024a	2025e	2026e	2027e
Revenue	8,730	12,310	12,440	12,557
EBITDA	2,094	5,027	4,843	4,731
Net income	1,050	3,348	3,289	3,215
EPS (EGP)	3.06	9.60	9.43	9.22
EPS consensus (EGP)	3.06	4.60	6.13	5.46
Price to earnings	16.8x	5.3x	5.4x	5.6x
Dividend yield	5.7%	14.8%	14.6%	14.2%
Net debt (cash) / Equity	(0.4)x	(0.5)x	(0.5)x	(0.5)x
EV / EBITDA	8.7x	3.6x	3.8x	3.9x
ROAE	83.7%	204.6%	161.3%	128.4%
FCF yield	5.4%	15.4%	17.4%	17.0%

Source: Arabian Cement (Egypt), Bloomberg and EFG Hermes estimates

Stock Data

Closing Price	EGP51.3 as of 23 Nov 2025
Last Div. / Ex. Date	EGP1.59 / 07 Jan 2025
Mkt. Cap / Shares (mn)	USD408.3 / 378.7
Av. Daily Liquidity (mn)	USD0.92
52-Week High / Low	EGP55.0 / EGP14.3
Bloomberg / Reuters	ARCC EY / ARCC.CA
Est. Free Float	13.8%

Dina Hicham

+20 2 35352304 | dhicham@efg-hermes.com

Yousef Hussein

+20 2 35356013 | yhusseini@efg-hermes.com

Data Miner

Investment Thesis

ARCC is a leading cement producer in Egypt, with a clinker capacity of 4.2mtpa and 5.0mtpa of cement production. It enjoys a c5.5% market share, supported by: i) focus on high-demand areas, like Greater Cairo and Delta; and ii) a fleet for delivery service. ARCC stands out with its cost-conscious approach, allowing it to be one of Egypt's most efficient cement players. This approach gave ARCC a first-mover advantage in transitioning away from natural gas to coal, and currently investing in increasing its RDF content in the energy-mix. Following a challenging 2020, with pandemic lockdowns, construction ban and gov't restrictions, the gov't issued a quota system for local production in Jul 2021 to reduce the demand/supply gap, but the quota system ended in May 2025, and the government implemented several measures to curb the increasing cement prices; hence, prices are likely to see some corrections over the MT, as supply should increase in the market.

Valuation and Risks

We value ARCC using a discounted cash flow (DCF) methodology, which yields a target price (TP) of EGP55.1. Our forecast assumes a relatively flattish earnings trend, as we believe cement prices are likely to correct from the current elevated levels, while volumes are set to improve modestly from their already high-base in 2025e. Better-than-expected cement prices is our key upside risk.

Dec Year End				
In EGPmn, unless otherwise stated	2024a	2025e	2026e	2027e
Income Statement				
Revenue	8,730	12,310	12,440	12,557
EBITDA	2,094	5,027	4,843	4,731
Net operating profit (EBIT)	1,837	4,744	4,534	4,404
Taxes or zakat	(346)	(1,173)	(1,037)	(1,014)
Minority interest	(0)	(0)	(0)	(0)
Net income	1,050	3,348	3,289	3,215
Balance Sheet				
Cash and cash equivalents	1,687	2,793	3,414	3,582
Total assets	5,849	7,649	8,409	8,695
Total liabilities	3,545	3,230	3,585	3,492
Total equity	2,304	4,419	4,825	5,203
Total net debt (cash)	(921)	(2,036)	(2,257)	(2,456)
Cash Flow Statement				
Cash operating profit after taxes	1,748	3,853	3,806	3,717
Change in working capital	253	(711)	(227)	(230)
CAPEX	(919)	(288)	(318)	(329)
Investments	0	0	0	0
Free cash flow	1,082	2,854	3,260	3,158
Net financing	278	(1,688)	(2,639)	(2,990)
Change in cash	1,118	1,103	621	168

Source: Arabian Cement (Egypt), EFG Hermes estimates

Dec Year End				
In EGPmn, unless otherwise stated	2024a	2025e	2026e	2027e
Per Share Financial Summary				
EPS (EGP)	3.06	9.60	9.43	9.22
DPS (EGP)	2.94	7.60	7.47	7.30
BVPS (EGP)	6.08	11.67	12.74	13.74
Valuation Metrics				
Price to earnings	16.8x	5.3x	5.4x	5.6x
Price to book value	8.4x	4.4x	4.0x	3.7x
Price to cash flow	11.1x	5.0x	5.1x	5.2x
FCF yield	5.4%	15.4%	17.4%	17.0%
Dividend yield	5.7%	14.8%	14.6%	14.2%
EV / EBITDA	8.7x	3.6x	3.8x	3.9x
EV / Invested capital	12.4x	7.2x	6.7x	6.3x
ROAIC	88.6%	143.5%	99.9%	88.0%
ROAE	83.7%	204.6%	161.3%	128.4%
KPIs				
Revenue growth (Y-o-Y)	44.5%	41.0%	1.1%	0.9%
EBITDA growth (Y-o-Y)	53.5%	140.0%	-3.7%	-2.3%
Gross profit margin	23.9%	41.5%	39.5%	38.1%
EBITDA margin	24.0%	40.8%	38.9%	37.7%
Net operating profit (EBIT) margin	21.0%	38.5%	36.4%	35.1%
Effective tax rate	23.0%	24.4%	22.5%	22.5%
Net Debt (Cash) / Equity	(0.4)x	(0.5)x	(0.5)x	(0.5)x
Net Debt (Cash) / EBITDA	(0.4)x	(0.4)x	(0.5)x	(0.5)x

Source: Arabian Cement (Egypt), EFG Hermes estimates

Figure 1: Discounted cashflow valuation

In EGPmn, unless otherwise stated

	2025e	2026e	2027e	2028e	2029e	2030e
COPAT	3,853	3,806	3,717	3,706	3,693	3,675
Change in working capital	(711)	(227)	(230)	(246)	(251)	0
Capex	(308)	(318)	(329)	(343)	(357)	(372)
Free cash flow (FCF)	2,834	3,260	3,158	3,118	3,085	3,303
Discounted free cash flow	2,834	2,606	2,066	1,688	1,405	1,236
PV of free cash Flows	11,836					
Terminal value	17,613					
PV of terminal value	6,592					
Total firm value	18,428					
Net debt/(cash)	(2,234)					
Investments	0					
Minority interest	0					
Equity value	20,662					
No. shares (million)	375					
Fair value (EGP)	55.0					
Current share price (EGP)	51.0					
Upside/downside potential	8%					

Source: Company data, EFG Hermes estimates

Figure 2: Target price sensitivity to terminal cement price

	Scenario 1	Scenario 2	Base case	Scenario 3	Scenario 4
Terminal cement price (EGP/t)	2,689	2,789	2,889	2,989	3,089
TP (EGP)	50.85	53.69	55.12	56.13	57.97

Source: Company data, EFG Hermes estimates

Figure 3: 2026e-27e EBITDA and net income sensitivity to cement prices

EBITDA and net income in EGPmn

	Base case		Bull case	
	2026e	2027e	2026e	2027e
Cement price (EGP/t)	2,833	2,804	3,100*	3,162
EBITDA	4,843	4,731	5,592	5,770
Earnings	3,289	3,215	3,821	3,974

*Assuming cement prices to remain above EGP3100/t level

Source: Company data, EFG Hermes estimates

Financial Statements

Income Statement (Dec Year End)

In EGPmn	2024a	2025e	2026e	2027e
Revenue	8,730	12,310	12,440	12,557
COGS	(6,643)	(7,196)	(7,532)	(7,776)
Gross profit	2,087	5,114	4,908	4,781
SG&A	(268)	(389)	(393)	(397)
Other operating inc (expense)	18	19	19	20
EBITDA	2,094	5,027	4,843	4,731
Depreciation and amortisation	(257)	(282)	(309)	(327)
Net operating profit (EBIT)	1,837	4,744	4,534	4,404
Share of results from associates	N/A	N/A	N/A	N/A
Net investment income (loss)	0	0	0	0
Net interest income (expense)	(35)	144	128	155
Other non-operating inc (exp.)	1	0	0	0
FX gains (loss)	(244)	(64)	0	0
Net provisions	(54)	(14)	(52)	(53)
Income before taxes or zakat	1,506	4,810	4,610	4,506
Taxes or zakat	(346)	(1,173)	(1,037)	(1,014)
Net inc before minority interest	1,160	3,636	3,573	3,492
Minority interest	(0)	(0)	(0)	(0)
Reported net income	1,160	3,636	3,572	3,492
Adjusted net income	1,050	3,348	3,289	3,215

Source: Arabian Cement (Egypt), EFG Hermes estimates

Balance Sheet (Dec Year End)

In EGPmn	2024a	2025e	2026e	2027e
Cash and cash equivalents	1,687	2,793	3,414	3,582
Accounts receivable (current)	793	1,012	1,022	1,032
Inventory	852	1,326	1,445	1,551
Other debit balances (current)	0	0	0	0
Total current assets	3,333	5,131	5,881	6,165
PP&E (net)	2,376	2,402	2,412	2,414
Goodwill & intangibles	135	115	115	115
Investments (non-current)	0	0	0	0
Other debit balances (non-current)	4	1	1	1
Total non-current assets	2,516	2,518	2,528	2,530
Total assets	5,849	7,649	8,409	8,695
Short term debt	644	179	430	378
Accounts payable (current)	839	909	949	979
Other credit balances (current)	1,397	1,323	1,237	1,146
Total current liabilities	2,881	2,410	2,616	2,503
Long term debt	122	578	728	748
Other credit balances (non-current)	N/A	N/A	N/A	N/A
Total non-current liabilities	664	819	969	989
Total net worth	2,303	4,419	4,825	5,203
Total equity	2,304	4,419	4,825	5,203
Total equity and liabilities	5,849	7,649	8,409	8,695

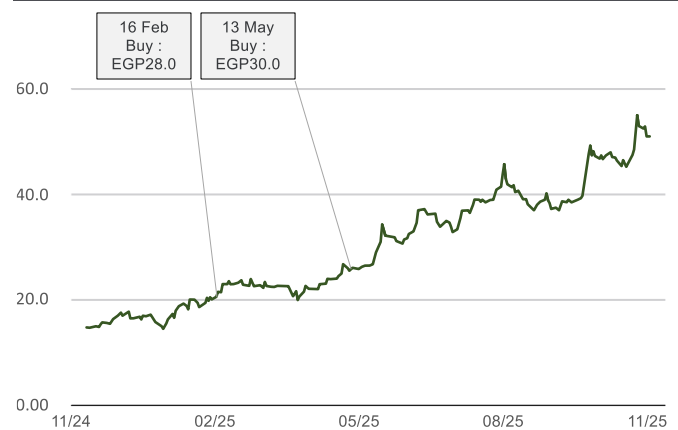
Source: Arabian Cement (Egypt), EFG Hermes estimates

Cash Flow (Dec Year End)

In EGPmn	2024a	2025e	2026e	2027e
Cash operating profit after taxes	1,748	3,853	3,806	3,717
Change in working capital	253	(711)	(227)	(230)
Cash flow after change in WC	2,002	3,142	3,578	3,487
CAPEX	(919)	(288)	(318)	(329)
Investments	0	0	0	0
Free cash flow	1,082	2,854	3,260	3,158
Non-operating cash flow	(243)	(63)	0	0
Cash flow before financing	840	2,791	3,260	3,158
Net financing	278	(1,688)	(2,639)	(2,990)
Change in cash	1,118	1,103	621	168

Source: Arabian Cement (Egypt), EFG Hermes estimates

Rating and Target Price chart



Rating Distribution

Rating	Coverage Universe%
Buy	61%
Neutral	32%
Sell	6%
Not Rated	0%
Under Review	0%

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EFG Hermes Offices
www.efghermesresearch.com
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Sales Contact

Institutional Sales

Cairo Office

Mohamed Aly
+20 2 35 35 6052
maly@efg-hermes.com

Wael El Tahawy
+20 2 35 35 6359
weltahawy@efg-hermes.com

Ahmed Hashem
+20 2 35356286
ahashem@efg-hermes.com

Carol Aziz
+20 2 35 35 6312
caziz@efg-hermes.com

Yasser Waly
+20 2 3535 6339
ywaly@efg-hermes.com

Riyadh Office
Ramy EL Essawy
+966 5 4880 0338
ressawy@efg-hermes.com

Mahdi Aljishi
+966 5 5506 0443
maljishi@efg-hermes.com

Dubai Office

Ayah Abou Steit
+971 4 363 4091
asteit@efg-hermes.com

Lucia Merzaian
+971 4 363 4421
lmerzaian@efg-hermes.com

GCC High Net Worth Sales

Hatem Adnan
+20 2 35 35 6083
hadnan@efg-hermes.com

Hany Ghandour
+966 5 4880 0677
hghandour@efg-hermes.com

Individual Sales

Bassam Nour
+20 2 3535 6069
bassam@efg-hermes.com

Primary Analyst Coverage (Dina Hicham)

Company (Reuters/Bloomberg)	Last Rating	Price (23 Nov 2025)
Al Jouf Cement (3091.SE/JOUF AB)	Sell	SAR6.92
Arabian Cement (Egypt) (ARCC.CA/ARCC EY)	Buy	EGP51.33
Arabian Cement (Saudi) (3010.SE/ARCCO AB)	Neutral	SAR21.45
City Cement Company (3003.SE/CITYC AB)	Buy	SAR13.05
Eastern Province Cement Company (3080.SE/EACCO AB)	Neutral	SAR23.73
Northern Region Cement Company (3004.SE/NORTHCEM AB)	Sell	SAR7.50
Qassim Cement (3040.SE/QACCO AB)	Neutral	SAR42.26
RAK Ceramics (RAKCEC.AD/RAKCEC UH)	Buy	AED2.48
Saudi Cement (3030.SE/SACCO AB)	Buy	SAR37.36
Saudi Ceramics (2040.SE/SCERCO AB)	Neutral	SAR28.90
Southern Province Cement (3050.SE/SOCCO AB)	Neutral	SAR23.25
Tabuk Cement (3090.SE/TACCO AB)	Neutral	SAR9.55
Yamama Cement (3020.SE/YACCO AB)	Buy	SAR23.70
Yanbu Cement (3060.SE/YNCCO AB)	Buy	SAR15.64

Analyst Coverage (Yousef Hussein)

Company (Reuters/Bloomberg)	Last Rating	Price (23 Nov 2025)
Abu Qir Fertilizers (ABUK.CA/ABUK EY)	Buy	EGP46.60
Advanced Petrochemicals (2330.SE/APPC AB)	Buy	SAR33.20
Aluminium Bahrain (ALBA) (ALBH.BH/ALBH BI)	Buy	BHD1.04
Borouge (BOROUGE.AD/BOROUGE UH)	Neutral	AED2.51
Chemanol (2001.SE/CHEMANOL AB)	Neutral	SAR9.30
Egyptian Chemical Industries - KIMA (EGCH.CA/EGCH EY)	Sell	EGP10.31
Electrical Industries Company (1303.SE/EIC AB)	Buy	SAR11.75
Fertiglobe (FERTIGLB.AD/FERTIGLB UH)	Buy	AED2.38
Industries Qatar (IQCD.QA/IQCD QD)	Neutral	QAR12.31
Maden (1211.SE/MAADEN AB)	Neutral	SAR63.35
Misr Fertilizers Production Company (MOPCO) (MFPC.CA/MFPC EY)	Buy	EGP28.56
National Industrialization Company (2060.SE/NIC AB)	Buy	SAR10.38
Qatar Aluminum Manufacturing (QAMC.QA/QAMC QD)	Buy	QAR1.49
SABIC (2010.SE/SABIC AB)	Buy	SAR56.40
SABIC Agri-Nutrients (2020.SE/SAFCO AB)	Neutral	SAR118.10
Sidi Kerir Petrochemicals (SKPC.CA/SKPC EY)	Neutral	EGP19.12
Sipchem (2310.SE/SIPCHEM AB)	Neutral	SAR17.23
Yansab (2290.SE/YANSAB AB)	Buy	SAR31.00